

dividends of \$2.50 per share, after which both classes share equally in further dividends. In addition, successive blocks of the restricted stock were to be released from the restriction according as the earnings for 1925 and successive years reached certain stipulated figures. (To the end of 1938, a total of 239,951 shares had been thus released.)

Adjusted Earnings: Trico Products Corporation¹

Year	Earnings for common	Earned per share on unrestricted stock		
		A. Ignoring restricted shares	B. Maximum distribution on unrestricted shares	C. Allowing for release of restricted shares (i.e., on total capitalization)
1929	\$2,250,000	\$6.67	\$4.58	\$3.33
1930	1,908,000	5.09	3.94	2.83
1931	1,763,000	4.70	3.72	2.61
1932	965,000	2.57	2.54	1.44
1933	1,418,000	3.78	3.21	2.10
1934	1,772,000	4.72	3.74	2.62
1935	3,567,000	9.84	6.52	5.38
1936	4,185,000	9.75	7.25	6.39
1937	3,792,000	8.97	6.82	5.99
1938	2,320,000	5.56	4.53	3.70
10-year average	\$3,394,000	\$6.17	\$4.69	\$3.64

¹ The calculations for the years 1935–1938 have been affected by repurchases of unrestricted shares by the corporation.

In the above table Column C supplies the soundest measure of the earning power shown for the unrestricted shares. Column A is irrelevant.

A situation similar to that in Trico Products Corporation obtained in the case of Montana Power Company stock prior to June 1921.

General Rule. The material in the last few pages may be summarized in the following general rule:

The intrinsic value of a common stock preceded by convertible securities, or subject to dilution through the exercise of stock options or through participating privileges enjoyed by other security holders, cannot reasonably be appraised at a higher figure than would be justified if all such privileges were exercised in full.